Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Supplemental Testimony

of the

Future of Heat Panel

Dated: January 29, 2020

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I. Introduction and Qualifications

Q. Please identify the members of the Future of Heat Panel.

A. The Panel consists of Donald Chahbazpour, Lisa M. Tallet, Arthur W. Hamlin, Owen S. Brady, and McKenzie S. Schwartz.

Q. Is this the same Panel that previously submitted testimony on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and the KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the Companies) in this proceeding?

A. Yes, but with one change to the members of the Panel. McKenzie Schwartz is being added to the Panel. The terms defined in the Panel's previously filed testimony have the same meanings here.

Q. Ms. Schwartz, as a new member of the Panel, please state your name and business address.

A. My name is McKenzie S. Schwartz. My business address is One MetroTech Center, Brooklyn, New York 11201.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid Service Company and hold the position of Future of Heat Analyst in the Regulatory and Customer Strategy group. My responsibilities include developing the regulatory strategy and proposals for new products and programs focused on providing affordable, sustainable, and low-carbon heat.

Q. Please describe your education background and business experience.

A. I received a Bachelor of Science in Sociology from the University of Utah in 2015. After, I served as an AmeriCorps VISTA member at Summit Land Conservancy, where I continued to work after finishing the AmeriCorps program. In 2017, I completed a Master of Public Administration in Environmental Science and Policy from Columbia University's School of International and Public Affairs. Thereafter, I was hired by National Grid as an Associate Analyst in the Climate Change Compliance group, where I was responsible for filing mandated and voluntary emissions reports, preparing resiliency and climate change adaptation plans, and supporting climate change-related projects. In October 2018, I assumed my current role with the Regulatory and Customer Strategy group.

II. Purpose of Testimony

Q. What is the purpose of the Panel's supplemental testimony?

A. The purpose of the Panel's supplemental testimony is to discuss the impact of the Commission's "Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025" issued January 16, 2020 in Case 18-M-0084 ("NE:NY Order") on the Companies' Future of Heat proposals in these rate proceedings, consistent with the Administrative Law Judges' January 21, 2020 "Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order."

Q. Does the Panel's Supplemental Testimony include any exhibits?

A. No.

III. NE:NY Order

Q. Please provide a summary of the NE:NY Order.

A. The NE:NY Order marks the next step in the State's energy transformation, driving significant market-enabling investments aimed at reducing energy consumption and achieving ambitious clean energy

goals. It establishes progressive energy efficiency budgets and targets for calendar years 2021 through 2025, directs resources to helping disadvantaged communities and low- and moderate-income ("LMI") customers achieve energy savings, identifies strategies to address gas supply-constrained areas, incentivizes the achievement of superior energy efficiency outcomes, and provides a framework to implement, review, and refine the overall approach to energy efficiency. The Companies share the State's vision for the clean energy future. To that end, this supplemental testimony incorporates specific elements of the shared vision, as set forth in the NE:NY Order.

Q. What elements of the NE:NY Order impact the Panel's Future of Heat proposals?

A. Most notably, the Companies have updated the revenue requirements to reflect the new energy efficiency budgets and targets set forth in the NE:NY Order. Furthermore, to deliver the benefits in the NE:NY Order and meet the reporting and compliance requirements contained therein, the Companies seek eight additional full-time equivalents ("FTEs"). The hiring of the FTEs will be staggered throughout the Rate Year and Data Year 1, as discussed below. The Companies also look to build on the

earnings adjustment mechanism ("EAM") framework to further incentivize achieving superior energy efficiency outcomes. Finally, the Companies highlight ways in which the forward-looking Future of Heat programs and services align with the "all cost-effective measures" approach to delivering clean energy solutions set forth in the NE:NY Order and embodied in the Climate Leadership and Community Protection Act ("CLCPA"). Each of these changes is described below more fully.

A. Budgets and Targets

Q. Please summarize the Companies' energy efficiency budget proposal.

A. The Companies' original rate filing used the presumptive targets and budgets in the Commission's December 13, 2018 "Order Adopting Accelerated Energy Efficiency Targets" in Case 18-M-0084 ("Accelerated Efficiency Order") to set the proposed Rate Year energy efficiency rate allowance. With the NE:NY Order, the Companies have incorporated the updated energy efficiency budgets for the Rate Year, which represents an incremental increase of $1.232 million for KEDLI and $0.070 million for KEDNY, as compared to the presumptive budgets

from the Accelerated Efficiency Order. Please see Exhibit __ (RRP-1TS) for further detail on the revenue requirement adjustments.

Q. How does the NE:NY Order impact the Companies' proposal to treat EM&V costs separately from the energy efficiency budget?

A. The NE:NY Order clarifies that the authorized energy efficiency budgets include EM&V costs. Accordingly, the Companies have adjusted their respective revenue requirement to remove EM&V costs from base rates and instead incorporate those costs in their energy efficiency program portfolio budgets.

Q. Will the Companies require additional FTEs to support the NE:NY Order?

A. Yes. The NE:NY Order ramps up the energy efficiency targets by 114 percent and 22 percent for KEDLI and KEDNY, respectively, for 2021 through 2025. As set forth in Exhibit __ (RRP-2TS), the Companies request eight FTEs in addition to the seven FTEs originally requested in the Companies' initial filing. The new positions are needed to enable the Companies to meet the new targets, optimize the energy efficiency

portfolios to achieve maximum customer benefits, and ensure compliance with regulatory requirements.

Q. Please describe the roles each of the eight additional FTEs would play in delivering the NE:NY Order initiatives.

A. Specifically, two FTEs would develop and build the business cases for additional products, defined as new programs, measures, or delivery streams. One FTE is requested to provide technical support to the energy efficiency offerings by reviewing technical/trade press for technology trends and providing technical input for aspects of new or existing pilots.

Two FTEs would have roles as product owners whose responsibilities include reviewing the performance of existing products, improving the commercial viability of products, and identifying challenges with existing products. The two product owners would work closely with product developers to launch solutions within the respective energy efficiency portfolios.

The Companies also seek one LMI project manager and one LMI marketing analyst to support the NE:NY Order's expanded focus on LMI

customer programs. The LMI project manager would work to identify LMI customers, collaborate with the New York State Energy Research and Development Authority ("NYSERDA"), other utilities, and stakeholders to better serve disadvantaged communities, and coordinate with the LMI marketing analyst to target energy efficiency-related outreach and marketing materials to LMI customers. The LMI marketing analyst would be responsible for marketing and outreach to LMI customers based on new initiatives aligned with NE:NY Order.

Finally, the Companies request one FTE, an analyst, to support the enhanced EM&V workload required by the NE:NY Order, which emphasizes close coordination with NYSERDA and Staff in performing evaluations. Likewise, the Verified Gross Savings guidance includes additional requirements that will increase the workload of the current EM&V resources.

Q. When would the Companies anticipate hiring the eight FTEs?

A. The Companies would seek to fill the three FTE positions dedicated to developing and building the business case and providing technical support at the beginning of the Rate Year. The FTEs would be split

equally between KEDNY and KEDLI. The two product owner FTEs would be needed once product developers have identified energy efficiency products, and thus would not be hired until the second half of the Rate Year. The allocation of the FTEs is shown in Exhibit ___ (RRP-2TS).

The Companies believe the two LMI positions (project manager and marketing analyst) would be needed early in calendar year 2021. Given the service territory demographics and increased targets in KEDLI, the Companies anticipate the FTEs would focus more time on KEDLI than KEDNY. Finally, the Companies anticipate hiring the EM&V analyst at the start of Data Year 1. The analyst's time would be split equally between KEDNY and KEDLI.

B. Incentive Mechanisms

Q. Please address the impacts of the revised energy efficiency targets in the NE:NY Order on the Companies' EAM proposal.

A. The NE:NY Order defers to rate proceedings for the development and refinement of EAM proposals while maintaining elements of statewide uniformity with the incentives. To that end, the Companies will use the

energy efficiency targets established in the NE:NY Order as the basis for the minimum threshold for their respective energy efficiency EAMs.

Q. Please describe the Companies' proposed changes to KEDLI's EmPower Replacement Program Incentive Mechanism.

A. As set forth in the Third Supplemental Testimony of the Revenue Requirements Panel, KEDLI supports incorporating the HEAT Program into its energy efficiency portfolio. Given the incremental funding authorized for LMI energy efficiency programs in the NE:NY Order, KEDLI no longer believes it is necessary to request additional funding for the program outside of the energy efficiency budget. Instead, the Companies will fund this program within the authorized energy efficiency portfolio budgets and the Companies will make an adjustment to the revenue requirement to remove the incremental $2.5 million. The Companies still propose that the Earnings Incentive Mechanism be applied to this program as discussed in the Panel's rebuttal testimony.

C. <u>New Products and Services</u>

Q. How does the NE:NY Order impact the Companies' proposals for new products and services?

A. The NE:NY Order emphasized the development of public-facing resources capable of providing energy efficiency information, as well as a focus on gas peak reduction in supply-constrained areas, while also highlighting the importance of heat pumps, even calling out the need for Consolidated Edison Company of New York to dedicate funding to heat pump deployment in KEDNY's service territory.

The Companies developed a suite of proposals in the Future of Heat filing that align with the NE:NY Order's clean energy focus, as well as the broader CLCPA clean energy goals. Specifically, the Companies' proposed fuel-switching calculator is a customer-facing technology intended to reduce barriers to information, facilitate the further development of energy efficiency markets, and accelerate the adoption of energy efficiency technologies. Likewise, the Companies' expanded geothermal and demand reduction demonstration projects address the precise issues raised in the NE:NY Order: supply constraints and building electrification through heat pump deployment. The Companies continue to believe that these demonstration projects can play an important role in achieving the State's clean energy goals and developing

lessons learned to continuously improve efforts to achieve the ambitious targets.

VII. Conclusion

Q. Does that conclude the Panel's supplemental testimony.

A. Yes.